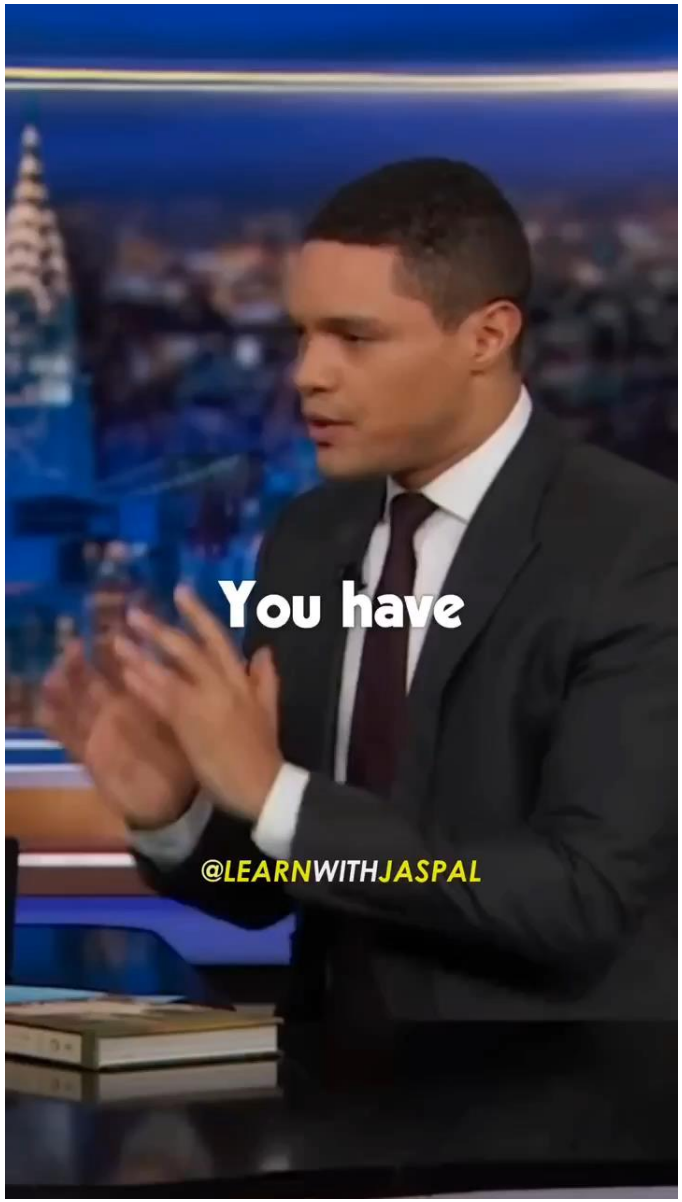
CONCEPT OF STRATEGY

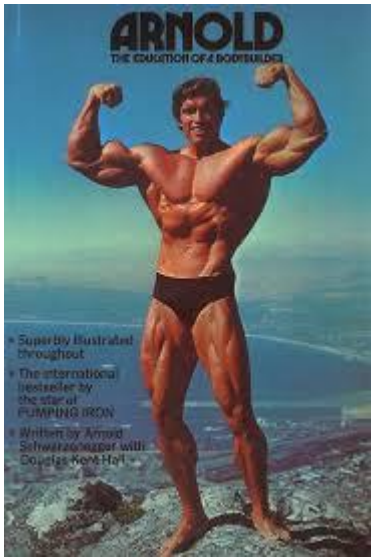
Session 1

Prof. Ricardo López Pérez

rlp@faculty.ie.edu


You have
@LEARNWITHJASPAL


The Oprah Winfrey Show

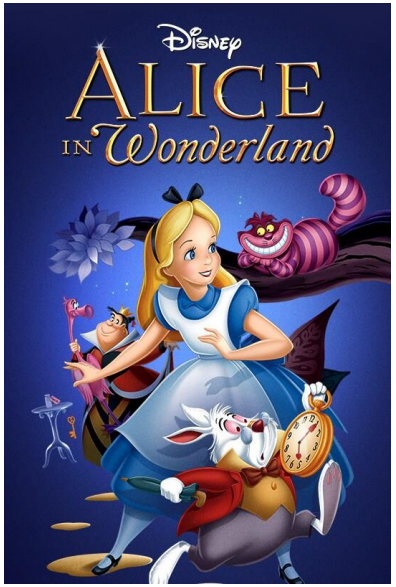

ARNOLD


The first rule of
@KARLNIILO


SEAL OF THE GOVERNOR OF THE STATE OF CALIFORNIA
gettyimages


SCHWARZENEGGER
TERMINATOR



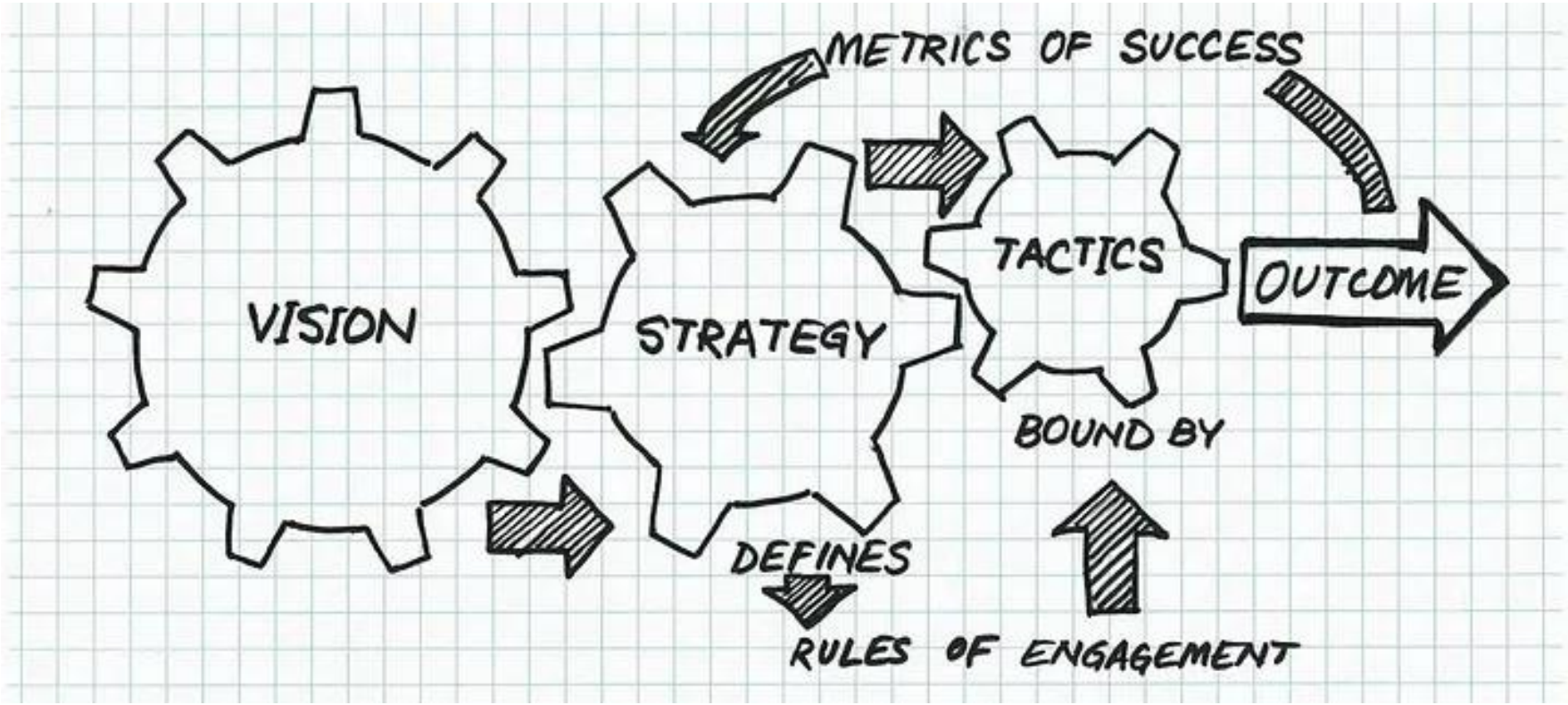


Alice: **“Would you tell me, please, which way I ought to go from here?”**

The Cat: **“That depends on where you want to get to,”**

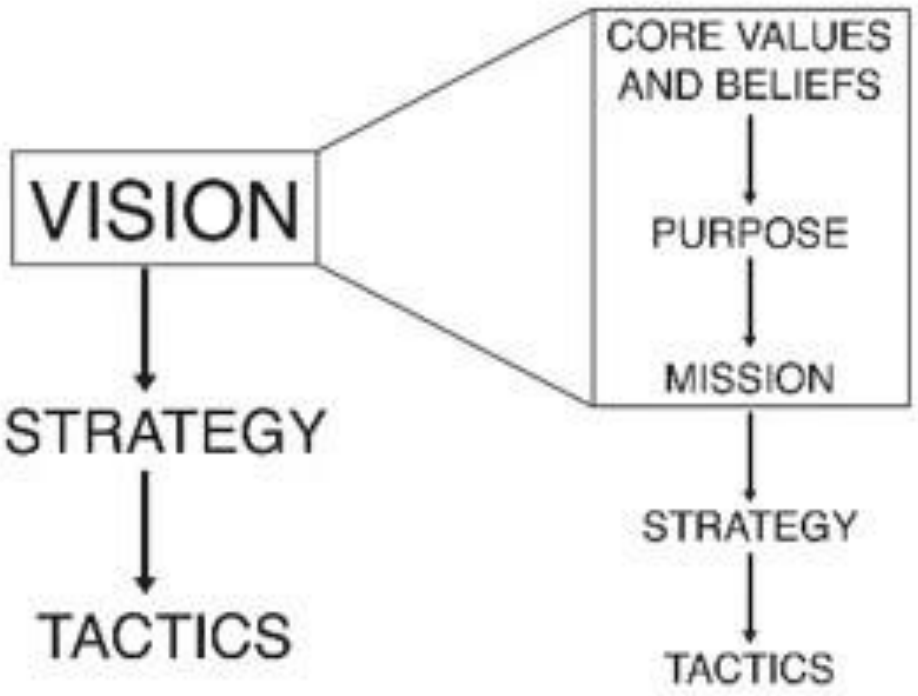
Alice**: “I don’t much care where”**

The Cat: **“Then it doesn’t matter which way you go”**



From: Jim Collins

Diagram of Vision, Strategy, Tactics



From: Collins and Lazier

Figure 4-1

CEO must work and be very clear on:



Values → What are our principles?



Purpose → Why are we doing this?



Direction → Where are we going?



Progress → How are we going?

1. Origins of Strategy
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War strategy



SUN TZU (S. VI b.c): *"The art of war"*

"The supreme in the art of war consists of defeat the enemy without giving battle."

"Strategy is the tao of survival or extinction"

Political strategy



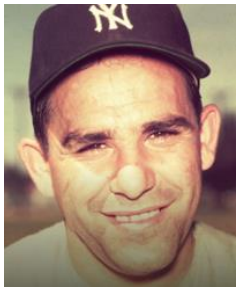
Nicola Maquiavelo (1513, Florence, Italy): "*The prince*"

"planned objectives gives you targets to aim for."

"Never attempt to win by force what can be won by deception."

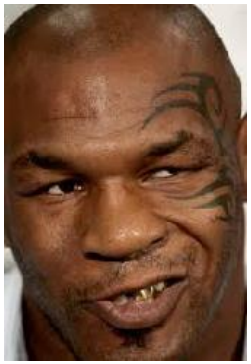
"Humans are driven by two principal impulses, either by love or by fear."

Strategy at Games



"You've got to be very careful if you don't know where are you going, because you might not get there"

Yogi Berra (Baseball player & coach)



"Everyone has a plan till they get punched in the mouth"

Mike Tyson (Boxer)



"Chess is life in miniature. Chess is a fight, chess battles."

Garry Kasparov

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What is Strategy?... and what is not strategy (2m.) https://www.youtube.com/watch?v=ibrxIP0H84M



STRATEGY →

The unifying theme that gives **coherence** and **direction** to actions and **decisions** of an individual or an organization.

Strategy is about achieving success.

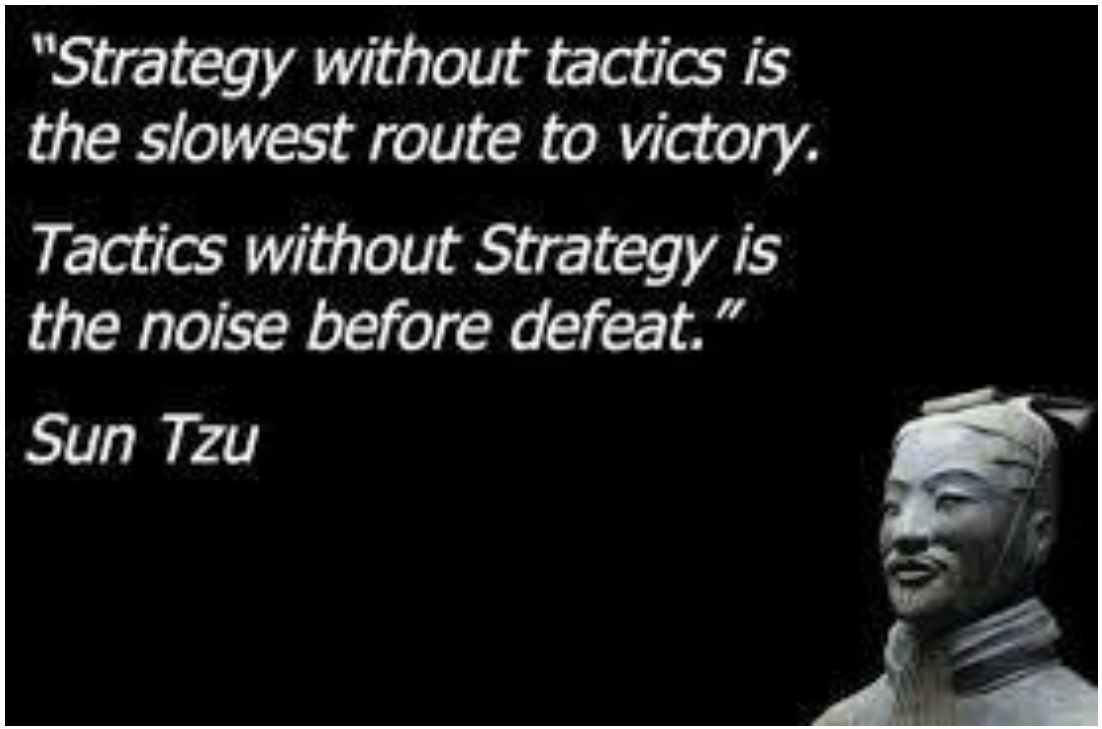
*"**Good strategy** is **deciding** the **direction** that will lead us to **success**"*

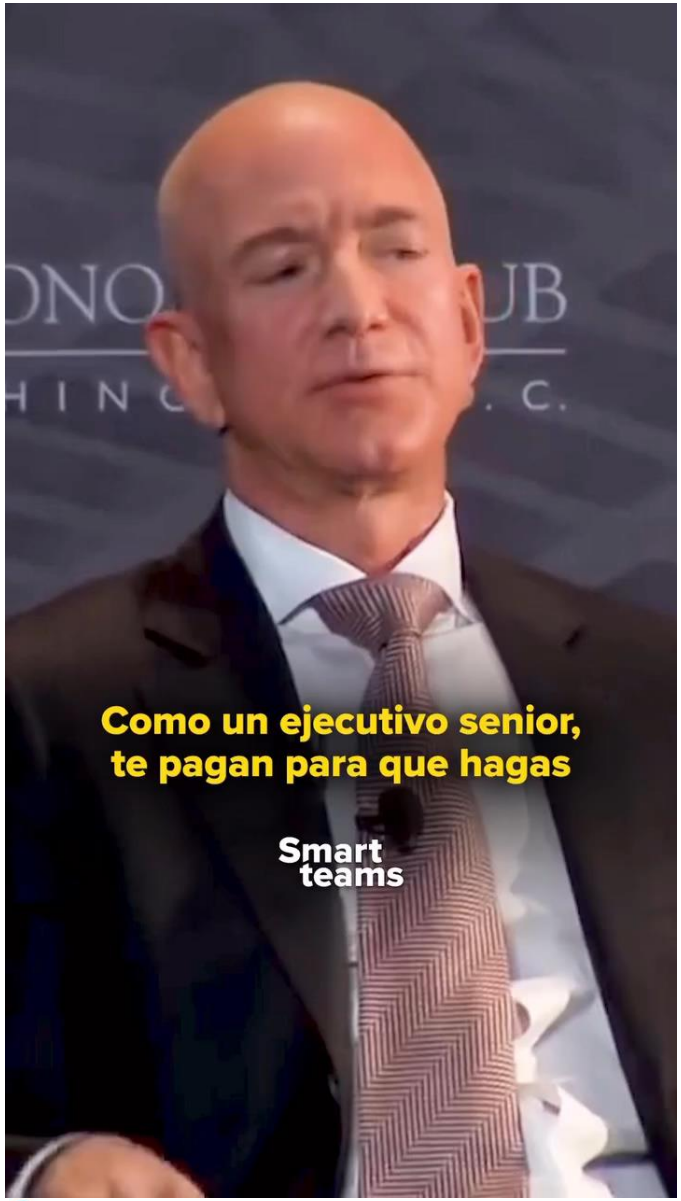
PLANNING →

The process of **defining** a **detailed plan** or program of instructions for achieving the goals and direction.

"**Good planning** is **defining the steps** towards the achievement of the strategic targets"

- **Strategy** → overall plan for deploying resources to stablish a favorable position (winning the war)
- **Tactic** → scheme for a specific action (winning a battle)





Strategic Decisions



Strategic decisions:

- Important decisions. Related to the core or future survival of the organization.
- Not easily reversible.
- Involve a significant Resources.

Jeff Bezos →

"Most decisions are **low consequence and reversible**. "If you make the wrong decision, and the cost is low, these decisions can be made quickly with data and by junior teams.
While **big decisions will often need to be made with the gut**, that gut needs to be informed by **your own principles** as well. Amazon's principles, for instance, include ideas such as **putting the customer first** and **inventing on behalf of the customer**."

"You collect as much data as you can. You immerse yourself in that data," said Bezos, "**but then make the decision with your heart (gut)." (Jeff Bezos)**

AMAZON´S STRATEGY Jeff Bezos On Customer Obsession & Long Term Think (4m)
https://www.youtube.com/watch?v=ctoEOdJxzE4

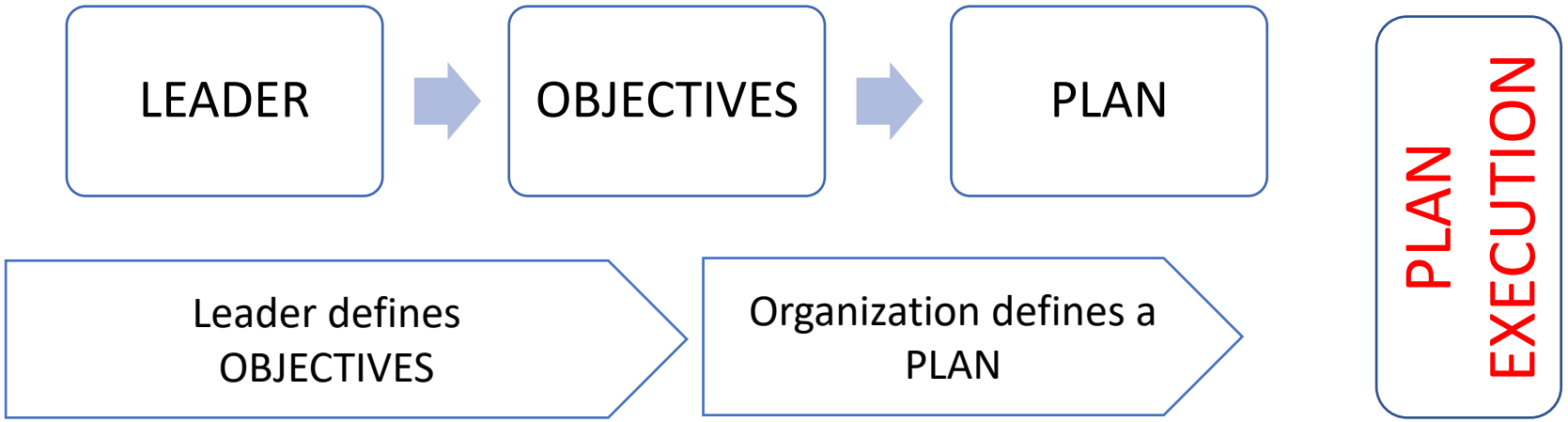


1. Origins of Strategy
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What is Business Strategy?

The leader must take optimal decisions, to set the mainframe of the corporate objectives and goals to achieve. And set a strategic plan for achieving them.

STRATEGY is just defining **"which" OBJECTIVES** must be achieved and **PLANNED "how"** we are going to achieved them.



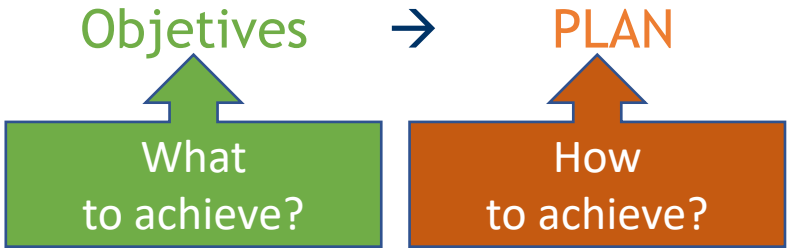
Some definitions of Business Strategy

Common in most definitions:

- Strategy gives **coherence** and **direction** to the actions.
- Involves **allocation of resources**.
- Must give **consistency of decisions** and actions.

Kenneth Andrews - The Concept of Strategy (Irwin, 1971)
Strategy is the pattern of objectives, purposes or goals and the major policies and plans for achieving these goals, stated in such a way as to define what business the company is in or is to be in and the kind of company it is or is to be.

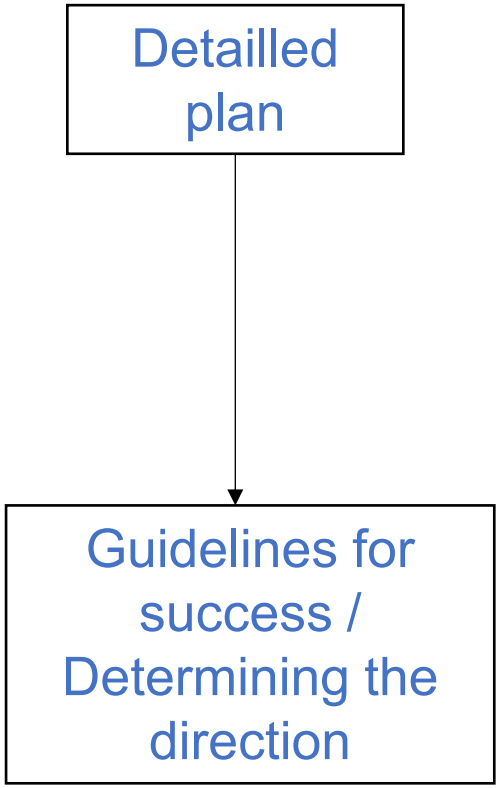
Alfred Chandler - Strategy and Structure (MIT Press, 1962)
The determination of the long-run goals and objectives of an enterprise and the adoption of courses of action and the allocation of resources necessary for carrying out these goals.

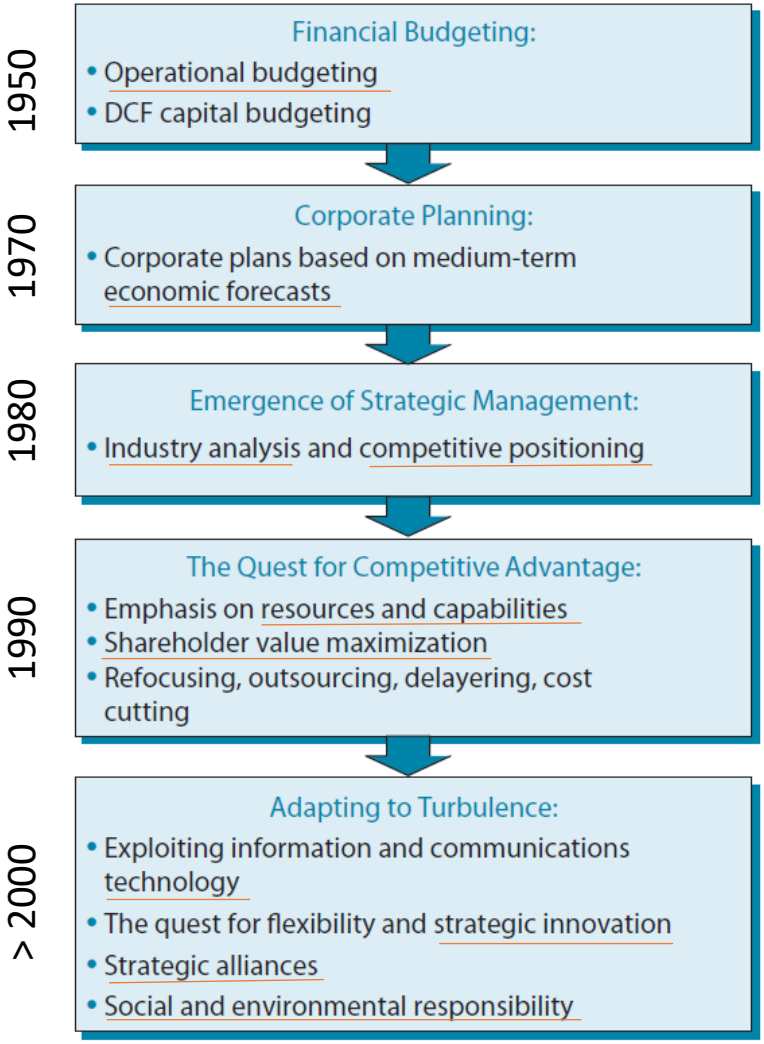


Why do firms need strategy?

- Strategy as **Decision support**
  - Strategy simplifies decision making
  - Humans are bounded rational
  - A strategy can act as heuristic and pool knowledge of different individuals
- Strategy as **Coordinating device**
  - A strategy can be translated in goals and performance targets.
  - Comunication Device
- Strategy as **Target**
  - Forward looking, motivating aspiration
  - However, strategy ≠ goal setting
  - Strategic intent → Desired strategic position

Evolution of Strategic Management





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Robert Grant, identifies 5 elements for a business strategy to succeed:

1. Goal Focused → Well defined Targets
2. Know the environment → and adapt to it
3. Know yourself → Strengths and weakness

   Resources and Capabilities
4. Effective Implementation →

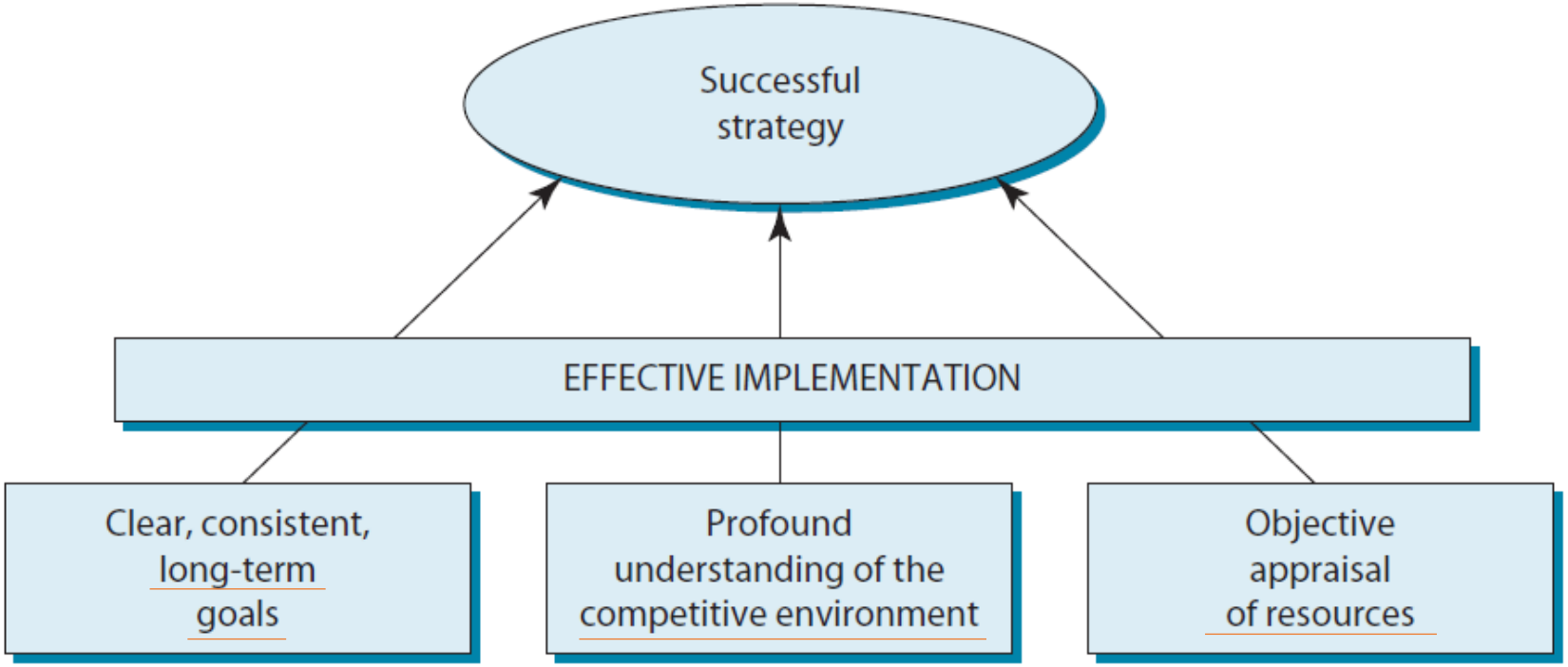


This is the KEY!!

Commitment, consistency and determination

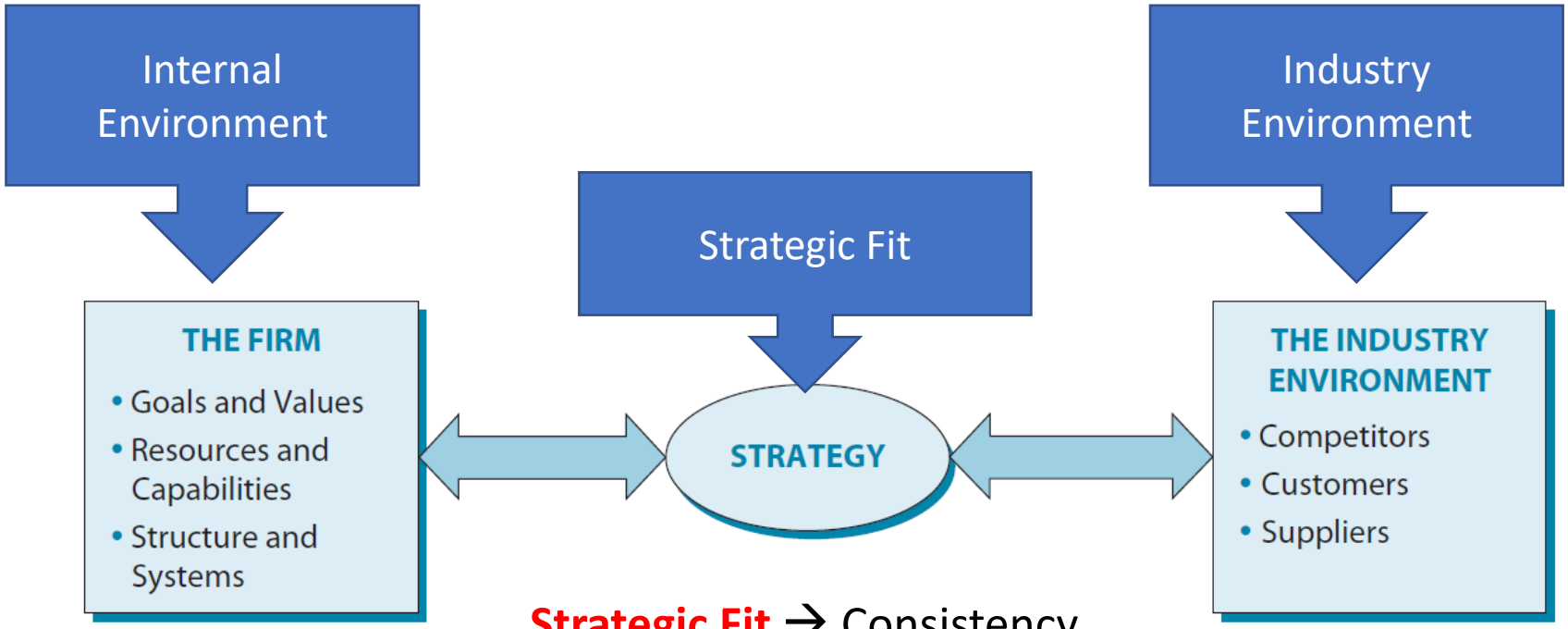
5. Alignment and coherence between :
   a) Targets and Goals
   b) Corporate culture and values of the company.
   c) Resources and Capabilities
   d) Organization, Structure and Coordination

What are the elements of successful strategies?



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Strategic fit



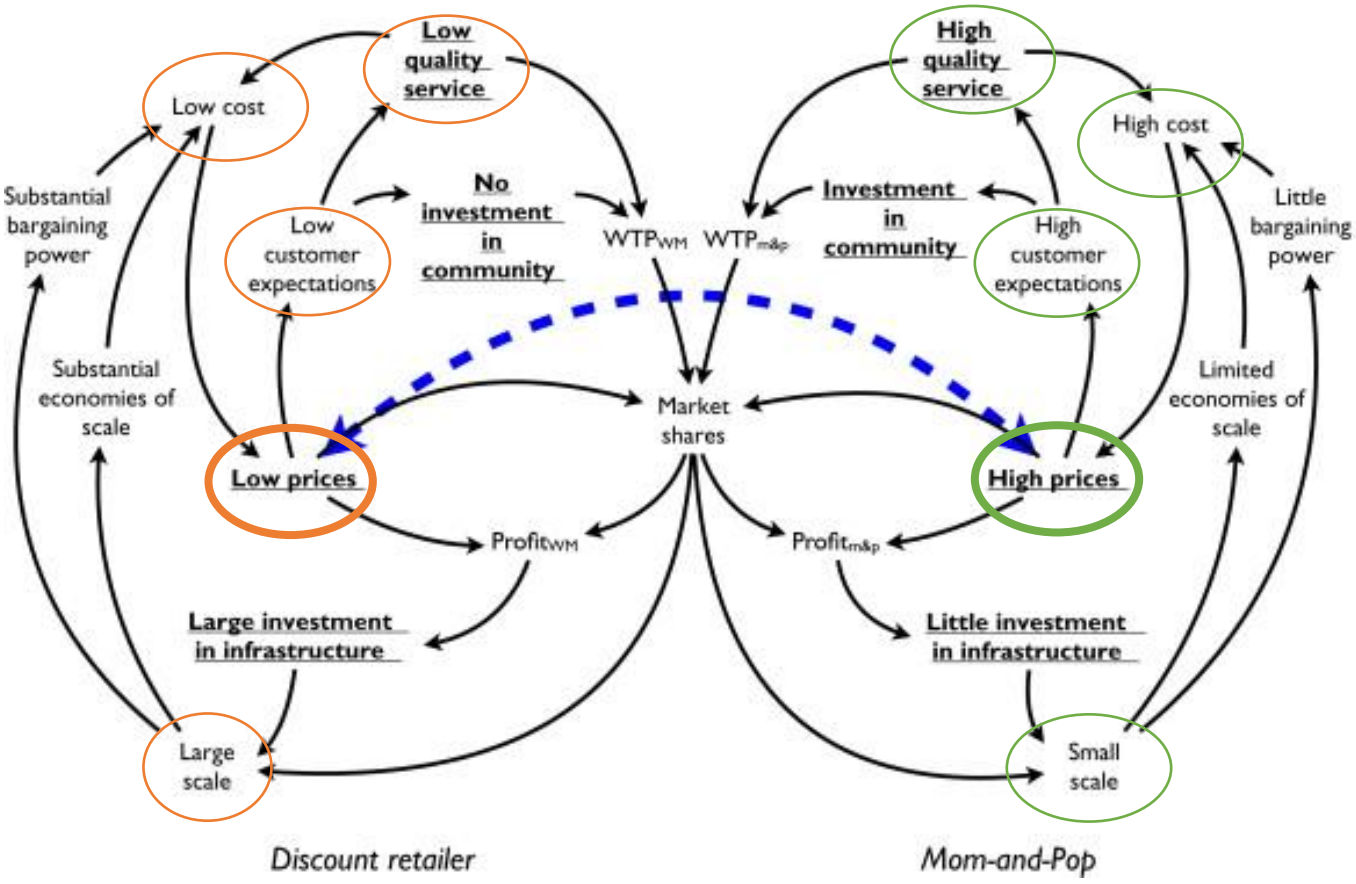
Strategic Fit → Consistency of a firm´s strategy with internal & industrial environment.

Strategic fit

- Refers to the consistency of a firm's strategy with:
  - The external environment
  - The internal environment
- Also describes the internal consistency among the different elements of a firm's strategy
  - Strategy → creation of a unique and differentiated set of activities (Porter)
  - Activities → must fit together to form a consistent, mutually reinforcing system. (*Value creating circle*)

Strategic Fit & Activity System

Activity system → **Decisions** and **Actions** that make up strategy are aligned with one another to create a consistent strategic position and direction development.

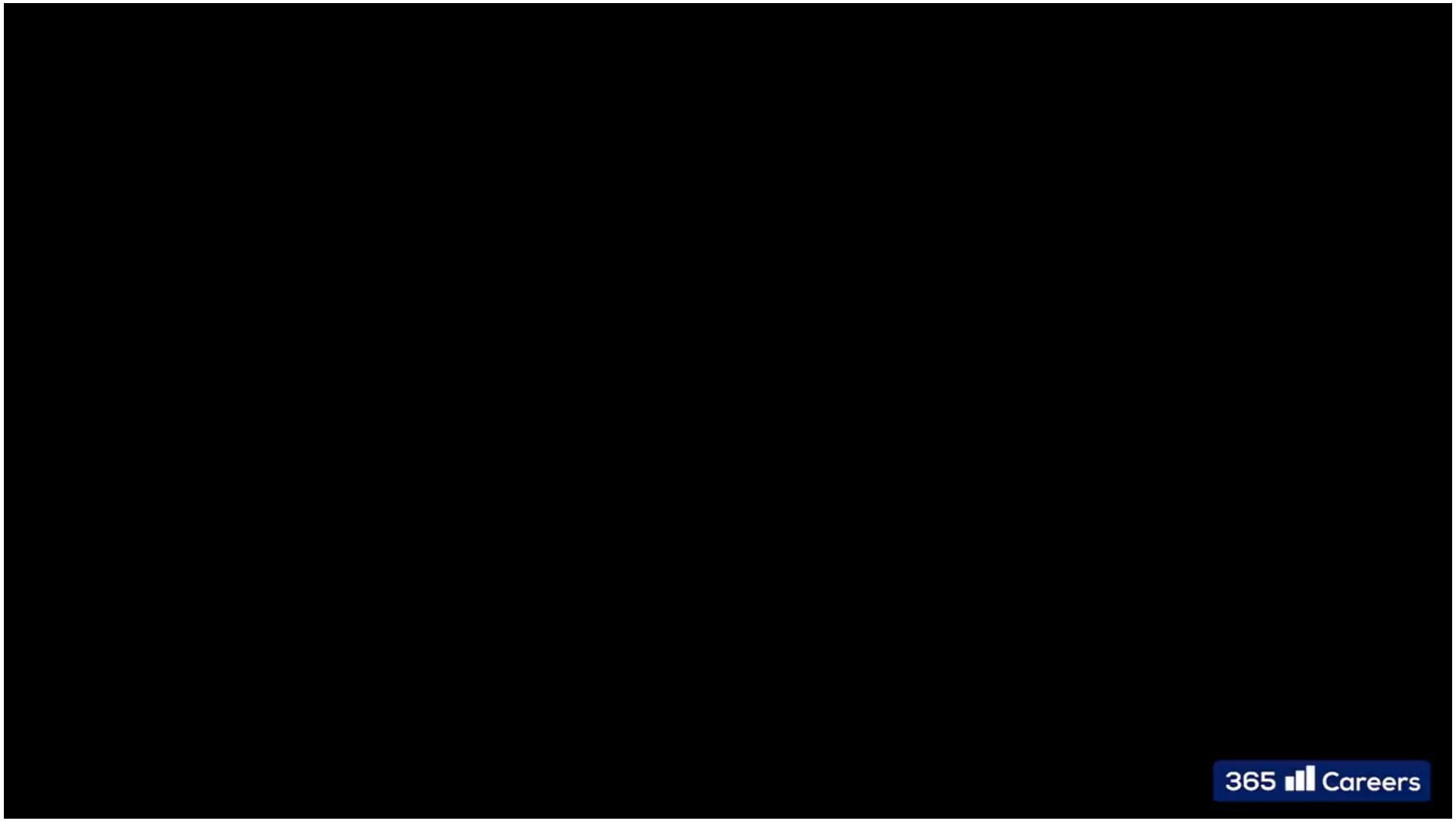


SWOT Analysis



Starbucks SWOT Analysis → Example Starbucks (4 m)

https://www.youtube.com/watch?v=mR9eICQJLXA



These are just some examples

WEAKNESSES

- Low bargaining power
- Lack of Resources and/or Capabilities
- Low market segmentation
- Low financing capacity
- Lack of innovation
- Inadequate structure or Human Resources
- ETC ..

STRENGTHS

- Capabilities and Resources
- R + D + i
- Production / Distribution
- Product Quality
- Image, brand and reputation
- Great Customer base
- Ability to adapt to changes
- Experience, know-how
- Bargaining power
- ETC …

These are just some examples

THREATS

- Substitutes Products or tecnologies.
- Vulnerability to economic crisis.
- New competitors:
  - With lower costs.
  - With greater differentiation.
  - Changes in consumer tastes.
- Risks: Credit (default); Market; Liquidity (temporary default) & Operational
- Regulatory requirements.
- Other …

OPPORTUNITIES

- Product diversification.
- Organic growth.
- Vertical integration (forward or backward)
- Enter new markets or segments.
- Produce new products or services.
- Respond to emerging customer needs.
- Meet other customer groups.
- Rapid market growth.
- Removal of trade barriers.
- Other ….

EXTERNAL ANALYSIS

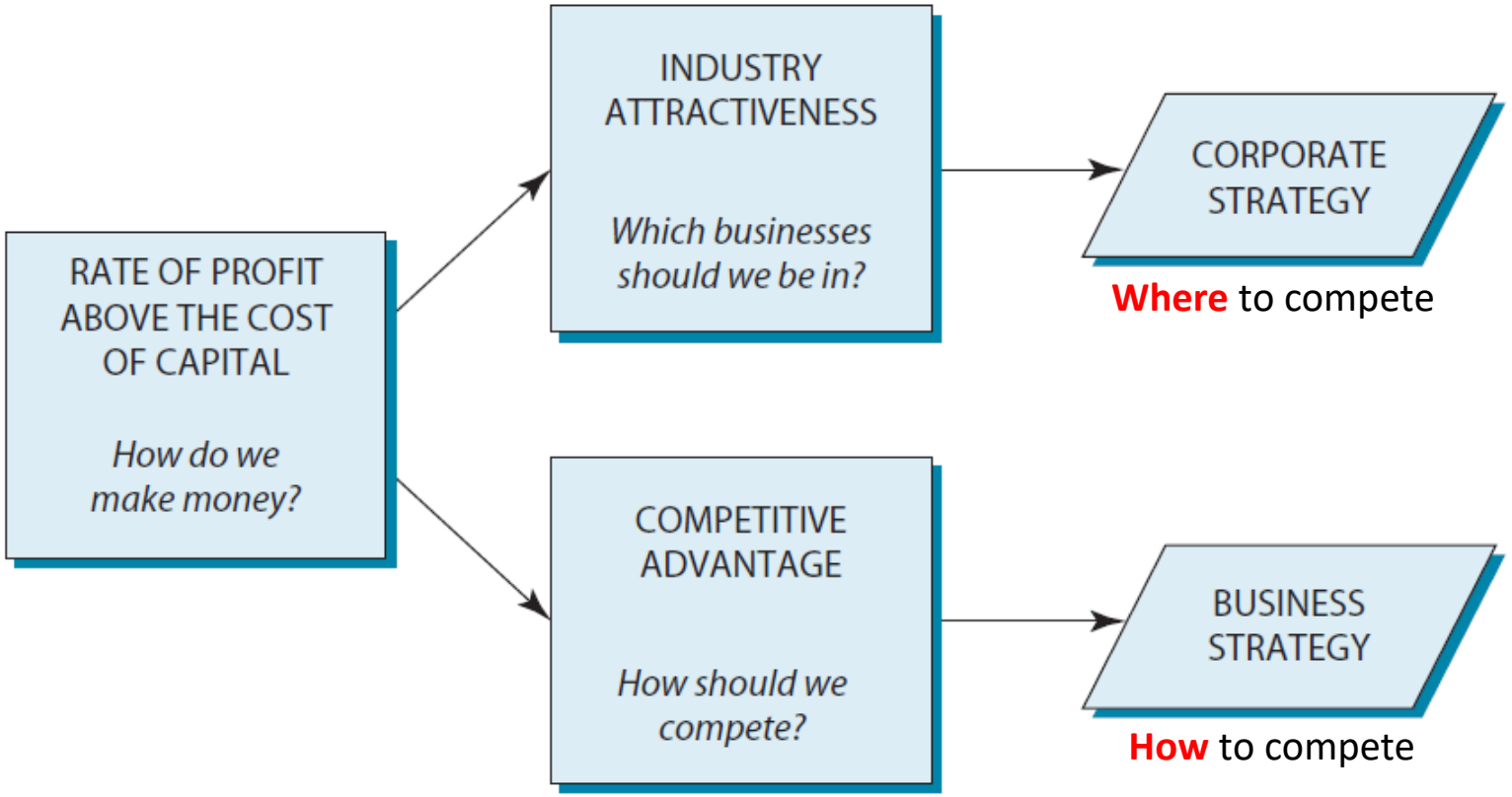


INTERNAL ANALYSIS



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Corporate vs. Business (or competitive) strategy



Corporate vs. Business (or competitive) strategy

Corporate strategy

Where is competing?

- Products or services (Diversification strategy)
- Customers & Suppliers
- Countries & internationalization
- Vertical integration

Business strategy

How is competing? Competitive Strategy

Firm´s competitive advantage:

- Cost Advantage
- Differentiation advantage

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Strategy as design or a process

STRATEGY AS DESIGN

Planning and rational choice

↓

Intended Strategy

STRATEGY AS PROCESS

Many decision makers responding to multitude of external and internal forces

↓

Emergent Strategy

Realized Strategy

Case: Honda USA 1960



1. **Setting the Strategic Agenda**
    1. Identify current strategy
    2. Appraise Performance
2. **Analyzing the situation**
    1. Diagnose Performance
    2. Industry analysis
    3. Analysis of Resources & Capabilities
3. **Formulating Strategy**
    3. Generating Strategic Options
    4. Decide Strategy
4. **Implement Strategy**
    3. Strategic Planning
    4. Allocating Resources
    5. Motivating People

1. Setting the Strategic Agenda

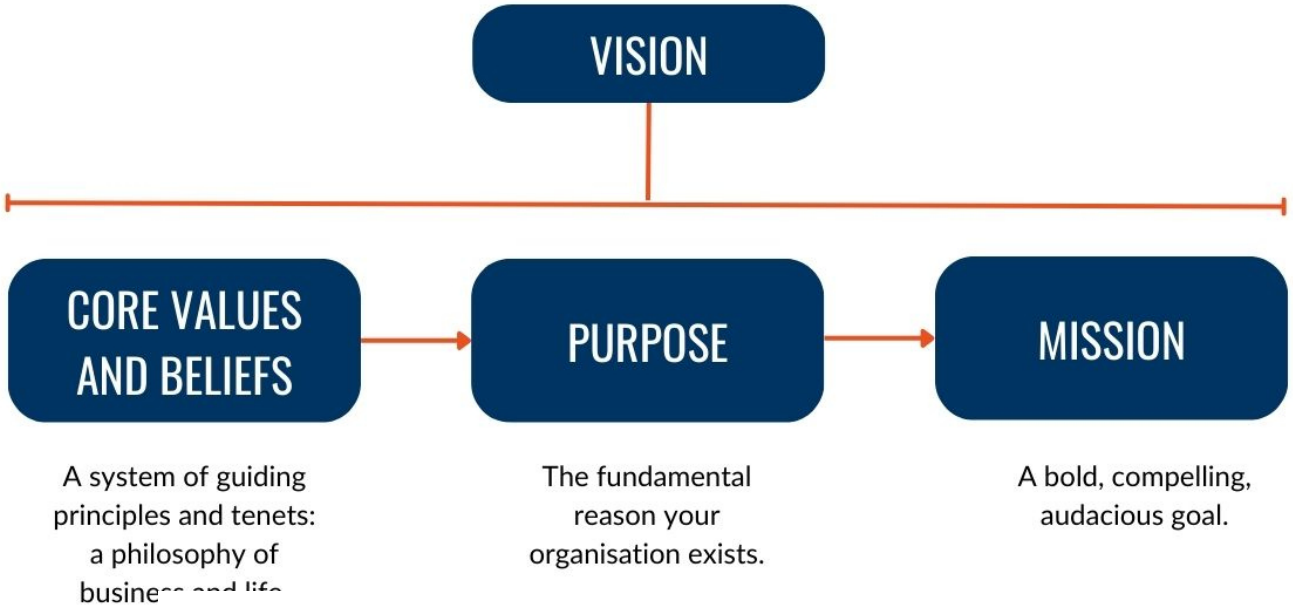
1.1. IDENTIFY CURRENT STRATEGY → Describing Strategy

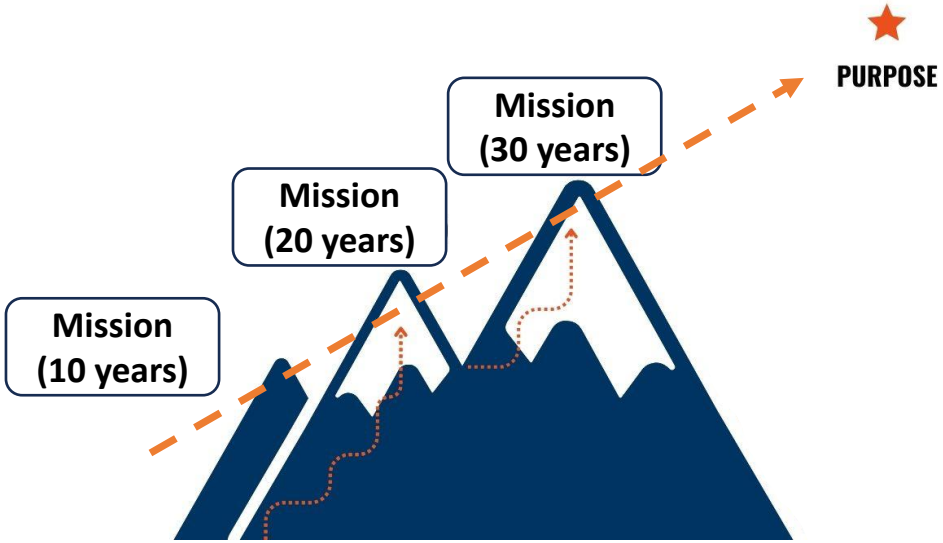
- *Mission* → *Organization purpose (Why we exist?)*
- *Vision* → *What we want to be in the future?*
- *Corporate Values or principles* → *What we believe and how we will behave?*
- *Strategy statements or Competitive advantages* → *Competitive game plan.*
  - *Where is the firm competing?* → Products, services, customers, locations,

    Ex.: McDonalds 5 pillars: People, Products, Place, Price & Promotion.
  - *How is it competing?* → Nature of competitive advantages

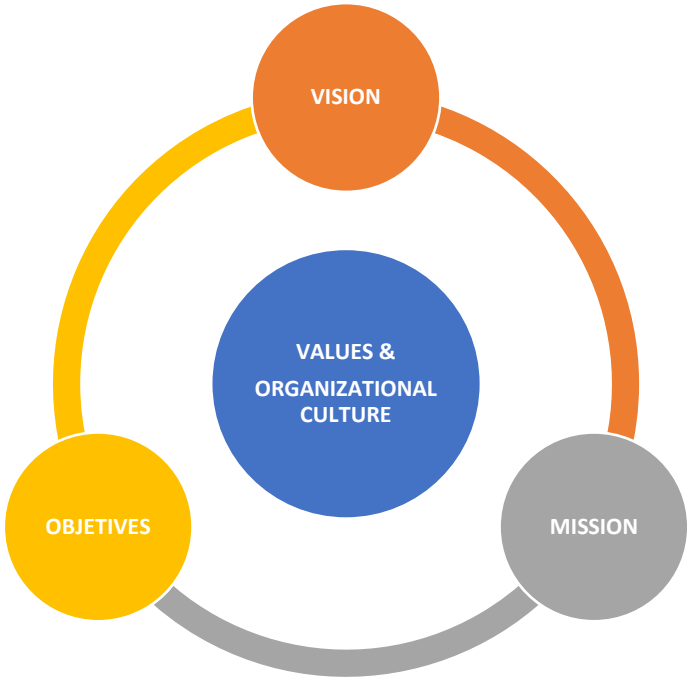
    Ex. McDonalds: Convenience, menu variety, geographic diversification & system alignment.

1.2. PERFORMANCE → How well is current strategy performing


VISION
CORE VALUES AND BELIEFS
PURPOSE
MISSION
A system of guiding principles and tenets: a philosophy of
The fundamental reason your organisation exists.
A bold, compelling, audacious goal.


PURPOSE
Mission (30 years)
Mission (20 years)
Mission (10 years)

1.1. IDENTIFY CURRENT STRATEGY → Describing Strategy



- **Vision**: Mental recreation of the Company on the long term. *Idealistic approach*.
- **Mission**: Declaration of the main purpose of the Company. *Declaration of intentions*.
- **High level Objectives**: Concrete definition of the main goals for the organization. *Declaration of main targets*.

All three must be perfectly correlated between them and with the **values** of the Company and the **Organizational Culture**. *Philosophical convictions of the Organization.*

The Mission, Vision, and Values statements (6m)

https://www.youtube.com/watch?v=8wem6FZAucw



1.1. IDENTIFY CURRENT STRATEGY → Describing Strategy

MISSION is the overall purpose of the firm.

"Why we exist."

Mission must be:

- **Ambitious but reachable.**
- **Neat and easy to understand.**
- **Simple and easy to remember.**
- **Attractive and shared with people on the organization.**

Examples:

IKEA → "We make this possible by offering a wide range of well-designed, functional home furnishing products at prices so low that as many people as possible will be able to afford them."

Santander Bank → "Towards a global bank"

Setting a clear Mission

John F. Kennedy Rice University Moon Speech (2 m.) https://www.youtube.com/watch?v=_RaRC6YuYCQ



1.1. IDENTIFY CURRENT STRATEGY → Describing Strategy

VISION: what it seeks to become.

"What we want to be."

Vision must be:

- Ambitious but realistic
- Neat and easy to understand.
- Simple
- Attractive

Examples:

IKEA → "To create a better everyday life for the many people."

Santander Bank → "Towards a global bank"

1.1. IDENTIFY CURRENT STRATEGY → Describing Strategy

VALUES are a statement of principles.

"What we believe in and how we will behave."



"We aspire to inspire together"

- Innovation: ◦ We are committed to a tradition of innovation and technology.
- Quality: ◦ We strive to set a high standard of excellence.
  ◦ We maintain high-quality standards across all product categories.
- Community: ◦ We create positive and inclusive ideas about families.
  ◦ We provide entertainment experiences for all generations to share.
- Storytelling: ◦ Timeless and engaging stories delight and inspire.
- Optimism: ◦ At The Walt Disney Company, entertainment is about hope, aspiration and positive outcomes.
- Decency: ◦ We honor and respect the trust people place in us.
  ◦ Our fun is about laughing at our experiences and ourselves

These values live in everything we do. They create a unified mission that all our people believe in and work toward. And to recognize individual efforts.

Ten things Google has found to be true



1. Focus on the user and all else will follow.
2. It's best to do one thing really, really well.
3. Fast is better than slow.
4. Democracy on the web works.
5. You don't need to be at your desk to need an answer.
6. You can make money without doing evil.
7. There's always more information out there.
8. The need for information crosses all borders.
9. You can be serious without a suit.
10. Great just isn't good enough.

2. Analyzing the situation

2.1. DIAGNOSE PERFORMANCE →

- What are the causes of (good or bad) performance?

2.2. INDUSTRY ANALYSIS →

- Looking at the changes in the industry and their implications

2.3. ANALYSIS OF RESOURCES & CAPABILITIES →

- What resources do the organization have?
- What are their core capabilities?
- Are these capabilities dynamic in order to adapt to changes in the environment?

3. Formulating Strategy

1. GENERATING STRATEGIC OPTIONS
2. DECIDE THE STRATEGY

At this point, we have many strategic choices, But we have to select one, taking into consideration:

This is the key role of the CEO



1. **Risk vs. Benefit Analysis**

2. **Decision-maker Background:**

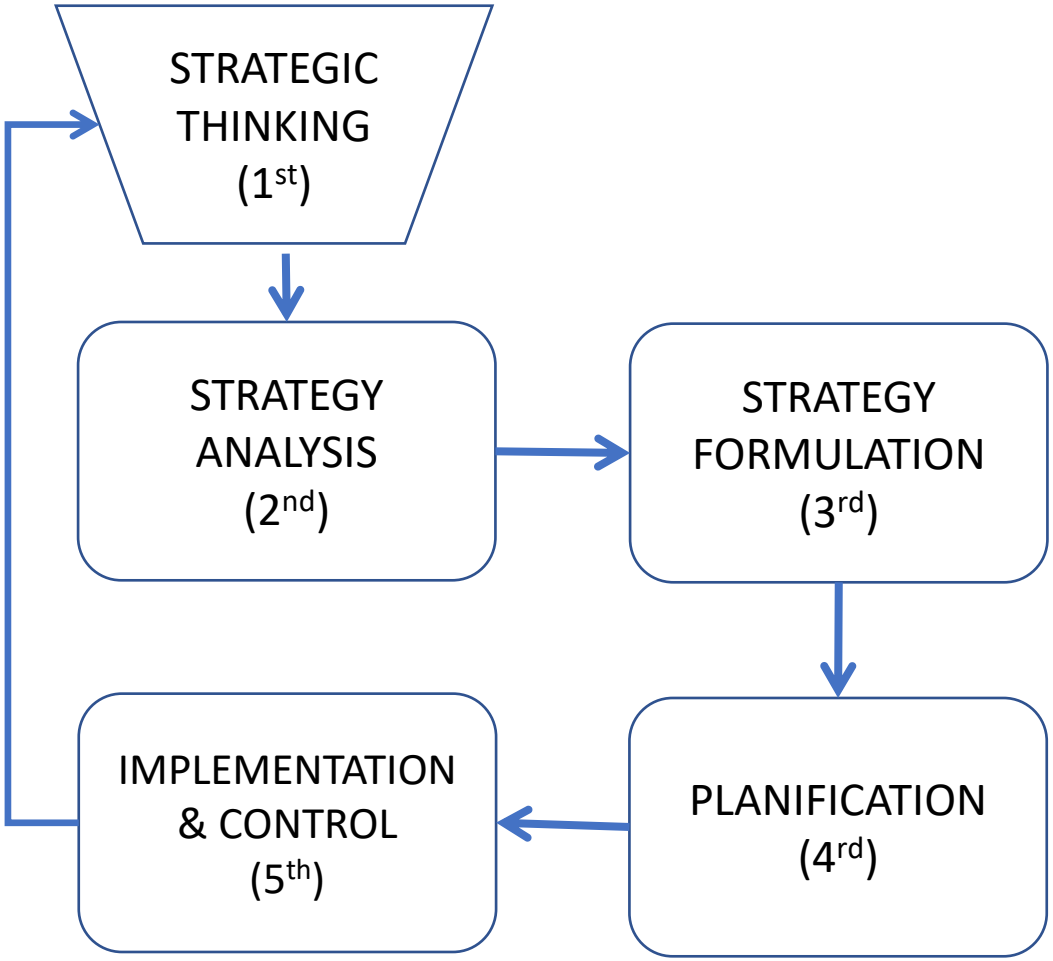
- Previous experiences of decision-maker.
- Fields of interest
- Background Studies
- Net working a d personal friends influences
- Hobbies and general knowledge

Ex.: Kodak, Black-Berry, Block-Buster, etc…

4. Implement Strategy

1. Allocating Resources → Do we have the resources for implementing the strategy?
2. Acquiring Capabilities → Do we have the capabilities for implementing strategy?
3. Motivating People → Aligning Corporate objectives & Personal Objectives.
4. Control & Feedback → Balanced Scorecard.

   - Measure Results: Define KPIs to measure and compare with target KPIs.
   - Implant Corrective measures: If results don´t satisfy standards. We have to take corrective.
   - Feed-back: Take notice of what is really happening in order to improve the planning system.


STRATEGIC THINKING (1st)
STRATEGY ANALYSIS (2nd)
STRATEGY FORMULATION (3rd)
PLANIFICATION (4rd)
IMPLEMENTATION & CONTROL (5th)

Strategies for competing in Industries

"Competing for today but with the weight on the future"
(Gary Hamel and C.K. Prahalad)

Strategy as Positioning

- *Where are we competing?*
  - -Product market scope
  - -Geographical scope
  - -Vertical scope
- *How are we competing?*
  - -What is the basis of our competitive advantage?

Strategy as Direction

- *What do we want to become?*
  - -Vision statement
- *What do we want to achieve?*
  - -Mission statement
  - -Performance goals
- *How will we get there?*
  - -Guidelines for development
  - -Priorities for capital expenditure, R & D
  - -Growth modes: organic growth, M & A, alliances

COMPETING FOR THE PRESENT

PREPARING FOR THE FUTURE

What is Strategy? Introduction (***Please watch it at home***)

https://www.youtube.com/watch?v=TD7WSLeQtVw

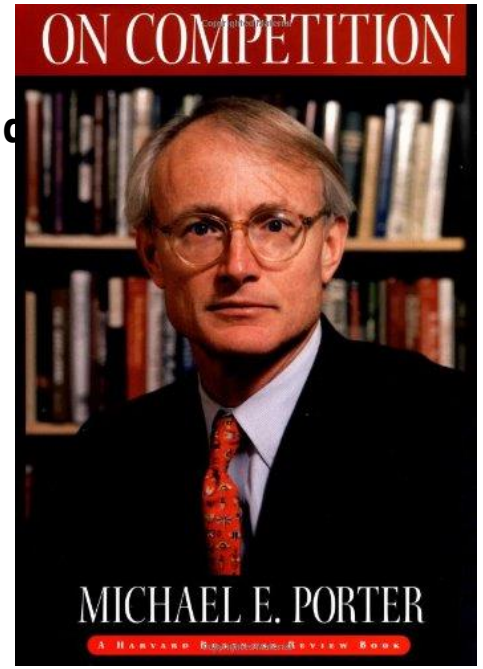


Complementary documentation (optional):

- Strategy - Prof. Michael Porter (Harvard Business School) 1h.
https://www.youtube.com/watch?v=tyUw0h5i9yI

- **Reading: What is strategy (M. Porter)**

- **Amazon CEO Andy Jassy on Agility, AI Strategy, and**
Managers
https://www.youtube.com/watch?v=Nl-PpoKtxc4



Thanks a lot!

Any questions?

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